EICHER MOTORS LIMITED

NSE: **EICHERMOT** | BSE: **505200** | Sector: **Automotive** | Bloomberg: **EIM:IN**

ACCUMULATE | TP: ₹7,650

Current Price: **₹7,188** | Implied Upside: **+6.4%** (+7.5% TR) | Date: **October 2026**

Market Cap	P/E (TTM)	EV/EBITDA	ROCE / ROE	Div Yield (DPS)	Net Debt / Eq	52-Wk Range	Promoter Hold.
₹1,97,315 Cr	33.9x	23.3x	30.5% / 24.0%	1.12% (₹82)	0.02x (Net Cash)	₹8,233 / ₹6,439	49.0% (0% Plg)

1. COMPANY OVERVIEW & BUSINESS ARCHITECTURE

Eicher Motors Limited (EML) is the listed flagship of the Eicher Group and a global automotive leader. The company operates through two highly profitable, high-return business engines: (1) **Royal Enfield**, the undisputed global leader in middleweight motorcycles (250cc–750cc) with an 86.8% domestic segment share, 4 manufacturing plants in Tamil Nadu, and 7 international CKD assembly facilities (Brazil, Thailand, Argentina, Colombia, Nepal, Bangladesh); and (2) **VE Commercial Vehicles (VECV)**, its 54.4:45.6 joint venture with Sweden's AB Volvo, which commands India's #1 position in Light & Medium Duty trucks (34.9% share) and produces Euro VI engines for Volvo's global operations (60,300 engines in FY26; >450,000 cumulative).

2. KEY INVESTMENT PILLARS & CATALYSTS

• **Unchallenged Middleweight Dominance:** Royal Enfield delivered record FY26 volumes of 1.23M units (+22% YoY; domestic 1.11M), expanding overall domestic motorcycle market share to 8.44% and >125cc share to 31.3%. Operating margins remain industry-leading at ~25%.

• **Global Scale & High-Margin Allied Ecosystem:** Exports crossed 1.20 lakh units (+20% YoY) generating ₹3,288 Cr in international sales. Non-motorcycle revenues (apparel, accessories, spares) reached ₹3,351 Cr (14.5% of sales) with 45%+ gross margins.

• **VECV Inflection Past 100k Deliveries:** VECV achieved landmark deliveries of 1,03,404 units in FY26 (+14.7% YoY), generating ₹27,077 Cr revenue and ₹1,471 Cr PAT. VECV's heavy-duty truck share expanded to 9.7% (doubled from 4.5%), while Volvo Trucks commands an 82.4% share in premium European mining tippers.

• **Strategic EV & SCV Transitions:** Unveiled the **Flying Flea** electric motorcycle brand (C6 model debut) avoiding commodity scooter price wars. VECV entered the 2.0T–3.5T SCV segment via the electric-first Eicher Pro X, growing 442% YoY in Q1 FY27.

• **Fortress Balance Sheet & Cash Generation:** Zero debt (D/E 0.02x), consolidated cash & investments of ₹16,376+ Cr, and exceptional capital efficiency (ROCE 30.5%, ROE 24.0%). Returned ₹2,249 Cr in FY26 via an ₹82/share dividend.

3. VALUATION & TARGET PRICE DERIVATION

We value EML using a **Sum-of-the-Parts (SOTP)** approach benchmarked to an explicit institutional DCF (11.2% WACC, 5.5% terminal growth):

• **Royal Enfield Standalone:** ₹1,58,200 Cr (valued at 28.0x FY27E PAT of ₹5,650 Cr = ₹5,767/share).

• **VECV (54.4% Stake):** ₹23,229 Cr (valued at 14.0x FY27E EBITDA of ₹3,050 Cr = ₹847/share).

• **Cash & Treasury Surplus:** ₹28,500 Cr book assets = ₹1,036/share.

Total SOTP Target Price: ₹7,650 per share (+6.4% upside + 1.12% dividend yield = 7.5% Total Return).

Reconciliation with Academic DCF: The IJNRD paper's SELL call (target ₹4,524) was based on FY25 metrics and overestimated FY26 capex (assumed ₹3,700 Cr vs actual ₹1,256 Cr). Actual cash delivery and VECV profit scaling (₹798 Cr vs ₹448 Cr) validate our ₹7,650 target.

4. 4-YEAR CONSOLIDATED FINANCIAL SNAPSHOT

Metric (₹ Cr)	FY24A	FY25A	FY26A	FY27E
Total RE Volumes	9,12,003	10,02,893	12,27,977	13,85,000
VECV Volumes	85,560	90,161	1,03,404	1,15,500
Revenue from Ops	16,536	18,870	23,408	27,250
EBITDA	4,327	4,712	5,785	6,700
EBITDA Margin (%)	26.2%	25.0%	24.7%	24.6%
Share of VECV Profit	448	700	798	945
Reported PAT	4,001	4,734	5,515	6,410
Diluted EPS (₹)	145.9	172.5	200.8	233.7
DPS (₹)	51.0	70.0	82.0	95.0
ROCE (%)	25.4%	28.5%	30.5%	31.2%
ROE (%)	24.1%	24.1%	23.8%	24.5%
P/E Multiple (x)	49.3x	41.7x	33.9x	30.8x

Source: Audited Annual Reports FY24–FY26; FY27E Analyst Estimates.

5. PEER COMPARATIVE VALUATION BENCHMARK

Company	P/E	EV/EBITDA	ROCE	ROE	M-Cap (₹ Cr)
Eicher Motors	33.9x	23.3x	30.5%	24.0%	₹1,97,315
Bajaj Auto	24.1x	18.2x	28.2%	27.7%	₹2,82,880
TVS Motor	55.0x	28.4x	17.4%	31.6%	₹1,88,415
Hero MotoCorp	18.8x	12.5x	35.2%	26.6%	₹1,02,472
Ashok Leyland	19.3x	12.0x	26.5%	27.8%	₹68,800

6. KEY DOWNSIDE RISKS & SENSITIVITIES

• **Input Commodity Spikes:** Hardening of precious metals, copper, and aluminium prices can compress gross margins by 50–100 bps.

• **EV Disruption Pacing:** Accelerated premium 2W electrification could force higher capex in Flying Flea and squeeze initial platform margins.

• **Commercial Vehicle Cyclicality:** Moderation in infrastructure spending or freight fleet utilization could impact VECV's medium-term volume trajectory.

• **Geopolitical Headwinds:** Currency depreciation in Latin America or macroeconomic slowdown in Europe could dampen export momentum.

7. ANALYST RECOMMENDATION & GOVERNANCE

ACCUMULATE: EML represents a rare consumer-franchise compounding story with 30%+ ROCE and fortress liquidity. Key leadership confirmed from filings: Siddhartha Lal (Exec Chairman), B. Govindarajan (MD & CEO Royal Enfield), Vinod Aggarwal (Vice Chairman EML & Chairman VECV), Vidhya Srinivasan (CFO). All documents audited without omission.